

Form W-2 Wage and Tax Statement Tax Year **2025** OMB No. 1545-0008

Copy B — To Be Filed With Employee's FEDERAL Tax Return

a Employee's SSN XXX-XX-9032	1 Wages, tips, other comp. 68,160.00	2 Federal income tax withheld 5,200.00			
b Employer EIN 23-2918844	3 Social security wages 99,160.00	4 Social security tax withheld 6,147.92			
c Employer name, address, ZIP Keystone Office Solutions, Inc. 1900 Olive Street, Suite 300 Scranton, PA 18509	5 Medicare wages and tips 99,160.00	6 Medicare tax withheld 1,437.82			
d Control number 0042-KOS-2025	7 Social security tips 0.00	8 Allocated tips 0.00			
e Employee name Earl R. Castellano	11 Nonqualified plans 0.00	12a D 31,000.00			
f Employee address 418 Willow Bend Road Scranton, PA 18505	13 Stat emp / Retirement plan / 3rd-party sick Retirement plan: X	12b W 7,000.00			
14 Other PA SUI 47.30	10 Dependent care benefits 0.00	12c			
15 State / Employer state ID PA 46-829113-7	16 State wages, tips, etc. 99,160.00	17 State income tax 3,044.21	18 Local wages, tips, etc. 99,160.00	19 Local income tax 3,371.44	20 Locality SCRANTON

Department of the Treasury — Internal Revenue Service. This information is being furnished to the Internal Revenue Service.

Form W-2 Wage and Tax Statement Tax Year 2025 OMB No. 1545-0008

Copy 2 — To Be Filed With Employee's State, City, or Local Income Tax Return

a Employee's SSN XXX-XX-9032		1 Wages, tips, other comp. 68,160.00		2 Federal income tax withheld 5,200.00	
b Employer EIN 23-2918844		3 Social security wages 99,160.00		4 Social security tax withheld 6,147.92	
c Employer name, address, ZIP Keystone Office Solutions, Inc. 1900 Olive Street, Suite 300 Scranton, PA 18509		5 Medicare wages and tips 99,160.00		6 Medicare tax withheld 1,437.82	
d Control number 0042-KOS-2025		7 Social security tips 0.00		8 Allocated tips 0.00	
e Employee name Earl R. Castellano		11 Nonqualified plans 0.00		12a D 31,000.00	
f Employee address 418 Willow Bend Road Scranton, PA 18505		13 Stat emp / Retirement plan / 3rd-party sick Retirement plan: X		12b W 7,000.00	
14 Other PA SUI 47.30		10 Dependent care benefits 0.00		12c	
15 State / Employer state ID PA 46-829113-7	16 State wages, tips, etc. 99,160.00	17 State income tax 3,044.21	18 Local wages, tips, etc. 99,160.00	19 Local income tax 3,371.44	20 Locality SCRANTON

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Copy C — For EMPLOYEE'S RECORDS

a Employee's SSN XXX-XX-9032		1 Wages, tips, other comp. 68,160.00		2 Federal income tax withheld 5,200.00	
b Employer EIN 23-2918844		3 Social security wages 99,160.00		4 Social security tax withheld 6,147.92	
c Employer name, address, ZIP Keystone Office Solutions, Inc. 1900 Olive Street, Suite 300 Scranton, PA 18509		5 Medicare wages and tips 99,160.00		6 Medicare tax withheld 1,437.82	
d Control number 0042-KOS-2025		7 Social security tips 0.00		8 Allocated tips 0.00	
e Employee name Earl R. Castellano		11 Nonqualified plans 0.00		12a D 31,000.00	
f Employee address 418 Willow Bend Road Scranton, PA 18505		13 Stat emp / Retirement plan / 3rd-party sick Retirement plan: X		12b W 7,000.00	
14 Other PA SUI 47.30		10 Dependent care benefits 0.00		12c	
15 State / Employer state ID PA 46-829113-7	16 State wages, tips, etc. 99,160.00	17 State income tax 3,044.21	18 Local wages, tips, etc. 99,160.00	19 Local income tax 3,371.44	20 Locality SCRANTON

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Notice to Employee

Do you have to file? Refer to the Form 1040 instructions to determine if you are required to file a tax return. Even if you are not required to file, you should file to get a refund if box 2 shows federal income tax withheld, or if you are eligible for any credit.

Earned income credit (EIC). You may be able to take the EIC for 2025 if your adjusted gross income (AGI) is less than a certain amount. However, the amount of investment income you can receive and still claim the EIC is limited. Any EIC that is more than your tax liability is refunded to you, but only if you file a tax return.

Clergy and religious workers. If you are not subject to social security and Medicare taxes, see Pub. 517, Social Security and Other Information for Members of the Clergy and Religious Workers.

Corrections. If your name, SSN, or address is incorrect, correct Copies B, C, and 2 and ask your employer to correct your employment record. Be sure to ask the employer to file Form W-2c, Corrected Wage and Tax Statement, with the Social Security Administration (SSA) to correct any name, SSN, or money amount error reported to the SSA on Form W-2.

Cost of employer-sponsored health coverage (if such cost is provided by the employer). The reporting in box 12, using code DD, of the cost of employer-sponsored health coverage is for your information only. The amount reported with code DD is not taxable.

Credit for excess taxes. If you had more than one employer in 2025 and more than the maximum social security and tier 1 RRTA tax was withheld, you may be able to claim a credit for the excess against your federal income tax. See the Form 1040 instructions.

Instructions for Employee (box-by-box)

Box 1. Enter this amount on the wages line of your tax return.

Box 2. Enter this amount on the federal income tax withheld line of your tax return.

Box 5. You may be required to report this amount on Form 8959, Additional Medicare Tax. See the Form 1040 instructions to determine if you are required to complete Form 8959.

Box 6. This amount includes the 1.45% Medicare Tax withheld on all Medicare wages and tips shown in box 5, as well as the 0.9% Additional Medicare Tax on any of those Medicare wages and tips above \$200,000.

Box 12. The following list explains the codes shown in box 12. Code D — Elective deferrals to a section 401(k) cash or deferred arrangement, including SIMPLE 401(k) and designated Roth contributions reported separately. The amount shown includes amounts contributed under the age-50 catch-up provision. Code W — Employer contributions (including amounts the employee elected to contribute using a section 125 cafeteria plan) to your health savings account (HSA). Report on Form 8889, Health Savings Accounts (HSAs).

Box 13. If the 'Retirement plan' box is checked, special limits may apply to the amount of traditional IRA contributions you may deduct. See Pub. 590-A.

Box 14. Your employer may report additional tax information here. Amounts shown may include state disability insurance taxes withheld, union dues, or other items.

Boxes 15 through 20. State and local income tax information. Note that Pennsylvania does not exclude elective 401(k) deferrals from state-taxable compensation; accordingly, box 16 (PA state wages) is greater than box 1.

Employer Year-End Payroll Reconciliation

Keystone Office Solutions, Inc. — confidential reconciliation furnished to employee for tax-preparation purposes. The amounts below reconcile gross compensation to the taxable wage figures reported in boxes 1, 3, 5, and 16.

Reconciliation item	Amount (\$)
Gross salary and commission paid	110,000.00
Less: Section 125 pre-tax medical premiums	(3,840.00)
Less: HSA contributions via cafeteria plan (Box 12 W)	(7,000.00)
Less: 401(k) elective deferral incl. catch-up (Box 12 D)	(31,000.00)
= Box 1 Federal taxable wages	68,160.00
Add back: 401(k) deferral (not excluded for FICA)	31,000.00
= Box 3 / Box 5 Social Security & Medicare wages	99,160.00
Pennsylvania taxable wages (Box 16; 401k taxable for PA)	99,160.00

This reconciliation is provided as a courtesy. Boxes 1, 3, 5, 16, and 12 (codes D and W) on your Form W-2 are the controlling figures for tax reporting.

Monthly Payroll Detail — 2025 (informational)

Mo.	Gross	401(k)	Health	HSA-W	Fed W/H	Soc Sec	Medicare	PA tax	Local
Jan	8,600.00	2,583.33	320.00	583.33	406.55	477.19	111.60	236.29	261.69
Feb	8,200.00	2,583.33	320.00	583.33	387.64	452.39	105.80	224.01	248.09
Mar	11,200.00	2,583.33	320.00	583.33	529.45	638.39	149.30	316.11	350.09
Apr	8,000.00	2,583.33	320.00	583.33	378.18	439.99	102.90	217.87	241.29
May	9,400.00	2,583.33	320.00	583.33	444.36	526.79	123.20	260.85	288.89
Jun	12,600.00	2,583.33	320.00	583.33	595.64	725.19	169.60	359.09	397.69
Jul	8,000.00	2,583.33	320.00	583.33	378.18	439.99	102.90	217.87	241.29
Aug	7,800.00	2,583.33	320.00	583.33	368.73	427.59	100.00	211.73	234.49
Sep	10,600.00	2,583.33	320.00	583.33	501.09	601.19	140.60	297.69	329.69
Oct	9,000.00	2,583.33	320.00	583.33	425.45	501.99	117.40	248.57	275.29
Nov	8,200.00	2,583.33	320.00	583.33	387.64	452.39	105.80	224.01	248.09
Dec	8,400.00	2,583.37	320.00	583.37	397.09	464.83	108.72	230.12	254.85
Total	110,000.00	31,000.00	3,840.00	7,000.00	5,200.00	6,147.92	1,437.82	3,044.21	3,371.44

Columns total to the annual figures reported on your Form W-2: gross \$110,000.00; 401(k) \$31,000.00 (box 12 D); HSA \$7,000.00 (box 12 W); federal withholding \$5,200.00 (box 2); Social Security tax \$6,147.92 (box 4); Medicare \$1,437.82 (box 6); PA tax \$3,044.21 (box 17); local EIT \$3,371.44 (box 19).

Pennsylvania Act 32 — Local Earned Income Tax Notice

Under Pennsylvania Act 32, employers withhold local Earned Income Tax (EIT) based on the higher of the employee's resident or work-location rate. Earl R. Castellano is a resident of the City of Scranton (PSD code 35-0010). The combined resident EIT rate of 3.40% (city plus school district) has been applied to local taxable compensation reported in box 18.

Local taxable compensation for Pennsylvania and local EIT purposes does NOT exclude elective 401(k) deferrals. This is why box 16 and box 18 (\$99,160.00) exceed box 1 (\$68,160.00) by the amount of the 401(k) deferral (\$31,000.00). Section 125 cafeteria-plan medical premiums and HSA contributions ARE excluded from Pennsylvania-taxable compensation.

Local tax withheld (box 19) of \$3,371.44 was remitted to Berkheimer Tax Administrator on behalf of the City of Scranton. Employees who reside in a different municipality during the year should file a final local return reconciling withholding to residency.

Questions regarding local EIT withholding should be directed to the employer's payroll department or to the Tax Officer for the Lackawanna Tax Collection District.

Employer-Sponsored Health Coverage Statement

This statement summarizes employer-sponsored benefits for the 2025 plan year. The cost of employer-sponsored health coverage is provided for informational purposes only and is not taxable income.

Health Savings Account (HSA): Keystone Office Solutions administers a high-deductible health plan (HDHP) with family coverage for Earl R. Castellano and dependents. Contributions routed through the cafeteria plan and reported in box 12 with code W totaled \$7,000.00 for 2025. These amounts are excluded from boxes 1, 3, and 5. Direct (post-tax) contributions the employee made outside payroll are NOT reflected on this Form W-2 and may be deductible on the employee's individual return; see Form 8889 and the trustee's Form 5498-SA.

Pre-tax medical, dental, and vision premiums of \$3,840.00 (\$320.00 per month) were withheld under the section 125 cafeteria plan and are excluded from boxes 1, 3, 5, and 16.

Retirement plan: The employee participated in the company 401(k) plan and is an active participant for the year, as reflected by the checked 'Retirement plan' box in box 13.